

Exxon in Aceh

Case overview



Exhumation of remains linked to the conflict in Aceh.



Protesters burning an ExxonMobil sign.

Overview

In 2001, eleven Indonesian villagers filed suit against ExxonMobil in U.S. federal court, alleging that the company was complicit in human rights abuses committed by Indonesian security forces in the province of Aceh. The plaintiffs maintain that ExxonMobil hired the security forces — members of the Indonesian military — to protect the natural-gas extraction facility and pipeline ExxonMobil was operating, and that ExxonMobil knew or should have known about the military's human-rights violations against the people of Aceh. The plaintiffs allege they suffered abuses including murder, torture, and rape at the hands of these security forces.

In the two decades since, Exxon has sold its Aceh gas fields to Indonesia's state-owned oil and gas company, Pertamina. The litigation, which rests on the Alien Tort Statute, has continued in U.S. courts through years of back-and-forth between the plaintiffs and Exxon. This case was even discussed during Justice Kavanaugh's Senate confirmation hearing, since he presided over it during earlier stages and authored dissents favoring Exxon. A 2021 U.S. Supreme Court ruling in a separate but related case suggests that any ruling in the plaintiffs' favor here would likely face steep jurisdictional hurdles if it ever reached the Supreme Court.

How to Prepare

As you read, take notes with particular attention to:

- How Exxon came to operate gas fields in Aceh, and the structure of that business venture.

- The role Indonesian security forces played at the fields — and whether Exxon had realistic alternatives to employing them.
- Why the U.S. government was hesitant to support efforts that might limit the gas field's operability, and how that influenced Exxon's actions.

Learning Objectives

Through reading, analyzing, and discussing this case, you'll apply what you know about political risk to a specific, complex instance of mounting risk. You'll evaluate Exxon's response and generate suggestions for how a firm might better respond to similar conditions. Watch for a few recurring undercurrents: the role of the home country in ameliorating or exacerbating political risk, the tension between political-risk mitigation and ethical corporate decision-making, and the extent to which international institutions and law can change corporate behavior — or be used instrumentally by corporations to reduce their own exposure.

Big-Picture Questions to Keep in Mind

These are broad framing questions to guide your reading — not the specific prompts for the in-class write-up, which go deeper into the particular facts of the case and are distributed separately.

1. Is ExxonMobil culpable for the atrocities committed on or near its gas field?
2. What, if anything, should ExxonMobil have done differently in managing its operations in Aceh? (Consider the Rice & Zegart framework from Monday's reading.)
3. How did the Government of Indonesia constrain Exxon's ability to act responsibly, if at all?

This overview is here to help you prepare — it is not a substitute for the assigned reading. The specific discussion questions for our in-class case write-up are distributed at the start of class.